LIFTOFF MOBILE INC LFTO

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by Mckenzie828

			2026	2027
Price:	15.25	EPS	0.7	1.47
Shares Out. (in M):	177	P/E	21.8	10.4
Market Cap (in $M):	2,705	P/FCF	10	7.5
Net Debt (in $M):	1,105	EBIT	393	471
TEV (in $M):	3,811	TEV/EBIT	9.7	8

Description

Situation Overview

Liftoff shares are currently trading 34% below the recent June IPO price and 50% off their high. Shares are trading at a 10% yield on 2026 FCF for a business that should grow top line mid to high double digits. With operating leverage this leads to a 20%+ growth in FCF/share. Today's valuation is a reflection of poor sentiment in the ad tech space and several technical factors related to Liftoff specifically, including a large PE overhang that has reduced investible float from ~$3B to $1B. I believe over the next 4 years (2027-2030) the company will produce nearly 70% of its market cap in cash, creating a significant margin of safety. Q3 should also beat on prediction-market user acquisition spend, where Liftoff is a top-two supplier.

Company Overview

Liftoff is a mobile-first advertising technology platform that was formed by combining Liftoff's programmatic demand side platform (DSP) with Vungle's supply side platform (SSP). In simple terms, a DSP helps advertisers, in this case mostly app developers, find users who will perform targeted actions, like download an app. It does this in an automated way, using an AI-powered prediction engine to buy the right ad inventory to serve ads to users who are most likely to perform the required action (ex: download app).

For each ad auction, Liftoff's neural network prediction engine Cortex estimates the probability of converting the user or device associated with that opportunity and what the conversion would be worth in return on ad spend. Cortex runs automatically with over 1 billion predictions every second and is self learning: for each ad opportunity, Cortex evaluates the data signals available to Liftoff from both the demand and supply side of the platform and estimates whether to bid and at what price. The engine compares those estimates with the outcomes observed, and retrains/applies what is learned to future decisions. When performance improves, advertisers spend more money (you can see this in 130% LTM net dollar retention). I would also note that Cortex appears to have lots of room for improvement. Per the CEO "there is really good empirical evidence out there that would suggest that we're really early in the journey… [Cortex] is still very early in its growth trajectory"

On the supply side, Vungle's core asset is its software development kit (SDK) footprint, a scarce asset that has nearly 170,000 app integrations and reaches 1.4-1.5 billion people per day. The SDK is a library of Liftoff code that app developers paste in their app that essentially packages an ad slot, sends the ad to auction, receives and renders the winning ad and tracks user behavior post ad. An SDK network like Liftoff's would take years to build and is difficult to replicate given that publishers integrate only a limited number of SDKs into their apps.

By combining both the demand and supply side, Liftoff can train Cortex on proprietary raw observation data that makes the demand side platform smarter. They can also "bundle" DSP and SSP services to get a greater share of wallet with customers.

Liftoff is a take rate business and reports revenue net of the cost of inventory, which is borne by the customer. As Liftoff gets paid when the specific action is completed (app is downloaded), in theory, an improved model that is better at targeting the right users would lead to an increase in ad revenue at roughly the same cost of purchased ad inventory. Small model improvements can lead to meaningful financial gains. For example, I estimate a 10% improvement in the conversion rate (1% to 1.1%) would lead to a corresponding 40% increase in reported revenue and a 65% increase in EBITDA (no incremental media / negligible incremental compute). The below example illustrates this point. The middle column assumes advertiser budget is uncapped and they will continue spending as long as the cost per install meets their return target (what I would expect to happen in practice). The far right column assumes their total budget ("advertiser spend") stays the same (i.e. they are buying the same amount of installs), but because each ad converts better, Liftoff needs to serve less ads. This could be akin to a flat end-market environment with a step change in model improvement.

Status Quo	
Ads Served	1,000
x Conversion Rate	1.0%
Installs	10
x Cost per Install	$2.00
Advertiser Spend	$20.0
Ads Served	1,000
x eCPM	$15.0
Media Spend	$15.0
Advertiser Spend	$20.0
- Media Spend	($15.0)
LFTO Net Revenue	$5.0
EBITDA	$3.0
Margin	*60.0%*
Take Rate	*25.0%*

Conversion Rate rises 10bps Advertiser scales spend	
Ads Served	1,000
x Conversion Rate	1.1%
Installs	11
x Cost per Install	$2.00
Advertiser Spend	$22.0
Ads Served	1,000
x eCPM	$15.0
Media Spend	$15.0
Advertiser Spend	$22.0
- Media Spend	($15.0)
LFTO Net Revenue	$7.0
Revenue Growth	*40.0%*
EBITDA	$5.0
Margin	*71.4%*
Growth	*66.7%*
Take Rate	*31.8%*

Conversion Rate rises 10bps Advertiser holds budget flat	
Ads Served	909
x Conversion Rate	1.1%
Installs	10
x Cost per Install	$2.00
Advertiser Spend	$20.0
Ads Served	909
x eCPM	$15.0
Media Spend	$13.6
Advertiser Spend	$20.0
- Media Spend	($13.6)
LFTO Net Revenue	$6.4
Revenue Growth	*27.3%*
EBITDA	$4.4
Margin	*68.6%*
Growth	*45.5%*
Take Rate	*31.8%*

This hypothetical scenario analysis shows how growth comes with incredibly high incremental margins and is how companies like Liftoff can grow at rates much faster than their end markets as algorithms improve.

Thesis

- Liftoff is too cheap vs. its peers: At $15.25/sh, Liftoff is trading at 8.5x 2026 EBITDA-Capex guidance which I estimate to be 10% FCF yield. During the roadshow the company discussed a 4% quarterly sequential growth target (have averaged 7.5% last 6Qs) with 65-70% incremental margins (have averaged 75% incremental margins over last 6Qs). This would equate to 17% annual top line growth, 20% EBITDA growth and higher FCF growth as the company reduces interest expense. This produces a 30%+ IRR in 3 years assuming 8.5x EBITDA-Capex at exit. Liftoff has about 60-65M of capitalized software costs so when comparing to peers it makes more sense to use EBITDA-Capex. On 2027 consensus numbers, Liftoff trades at 7x EV/EBITDA-Capex compared to APP at 11.5x, U at 24x, MGNI at 15x, TTD at 9.3x and PUBM at 14x. Even Viant, a pure-play DSP focused on CTV trades at a slight premium of 7.4x.
- High-teens top line growth rate is achievable: One way Liftoff is differentiated from peers is its focus on non-gaming app advertising. About 50% of its advertiser base is non-gaming (dating, finance, utility, gambling apps) relative to nearly 100% gaming customers at AppLovin. On the supply side, ~36% is from non-gaming apps (up from ~10% in 2023). The goals for non-gaming customers tend to focus more on cost per action or cost per new subscriber, which is slightly different than the primary focus of D7 ROAS targets of gaming companies. Experts have verified that Liftoff models perform better than peers in these environments. As we think about market growth, third party in-app advertising is expected to grow at an 11% CAGR over the next 5 years and non-gaming at 14%, the core driver being under monetization as app ecosystem monetizes about $0.07 per user per hour relative to TV at 5.5-6x. On top of market growth, Liftoff will grow through model improvements/increased conversion rates, as discussed previously. I have also heard they have a market leading position in creative / proprietary ad formats (can only work on Vungle SDK) which should help increase conversion rate / retention as publishers are looking for alternatives to the repetitive gaming ads we see lots of.
- Liftoff's app ecosystem is durable: The open web got commoditized because access to inventory became non exclusive. The platforms essentially became dumb pipes. The mobile-first app ecosystem where Liftoff plays is different because they have differentiated/proprietary supply and signals due to their SDK integration. The signals are also much richer than open web (logged in state, in-app transaction data). I think you could also make an argument that open web exposure carries a much higher threat from AI as browser based traffic starts to decline with users starting more sessions in LLMs. But users will continue to open the same entertainment/transactional apps where Liftoff customers are (gaming, dating, gambling, finance) regardless of LLM/consumer agent adoption. Maybe this interaction actually becomes MORE valuable in an agentic world.
- Technical selling factors: Liftoff is a new public company with a large PE ownership (Blackstone owns slightly less than 50% and GA owns 15%) with low liquidity (a $3B market cap is more like a $1B float). After a beat in Q2 and 7% sequential growth, the company guided to flat sequential growth for Q3 which pressured the stock. But their annual guidance calls for a reacceleration in Q4 (4.6% sequential growth), which gets to nearly 28% revenue growth for the year. Plus I expect Q3 to be better than expected given reasons cited in catalyst section below. Liftoff also has an up to $130M earnout payment to previous shareholders next year (essentially deferred purchase price by Blackstone) that will be a 1x hit to cash flow in 2027. All this to say, there is some short term noise which has created a compelling entry. Even assuming the full earnout payment is paid in 2027, I believe the company will produce nearly 70% of its market cap over the next 4 years in cash flow which creates a material margin of safety.

		2029		
	2026	Bear	Base	Bull
Revenue	875	1,102	1,296	1,401
26-29 CAGR		*8.0%*	*14.0%*	*17.0%*
Adj. EBITDA	514	661	791	876
Margin (LT Target of 65%)	*58.7%*	*60.0%*	*61.0%*	*62.5%*
Incremental Margins (65-70% Target)		*64.8%*	*65.7%*	*68.7%*
Capex + Cap SW	(66)	(83)	(97)	(105)
% Sales	*7.5%*	*7.5%*	*7.5%*	*7.5%*
EBITDA-Capex	448	579	693	771
Margin	*51.2%*	*52.5%*	*53.5%*	*55.0%*
FCF	278	438	539	604
NTM EBITDA-Capex Multiple	8.5x	7.0x	8.5x	10.0x
EV	$3,811	$4,051	$5,894	$7,707
Net Debt	1,105	356	255	214
Market Cap	2,705	3,695	5,638	7,492
Shares	177	198	198	198
YE 2028 Share Price	15.25	18.69	28.52	37.90
~2Y Price Target Upside		*22.6%*	*87.0%*	*148.5%*
Implied NTM FCF Yield		*11.9%*	*9.6%*	*8.1%*
Memo:				
2027-2030 Cash Flow Generation		1,518	1,851	2,062
% Current Market Cap		*56.1%*	*68.4%*	*76.2%*

Risks

- No mediation: Unlike AppLovin and Unity, Liftoff does not own a mediation layer (software that publishers use to connect to multiple SSPs and compare

bids in real time auctions). Whereas Liftoff's SSP/SDK shows them what happens in their transactions, the mediation layer sees the whole decision (even when you lose the auction). This gives players like AppLovin an advantage. But we have seen some publishers get frustrated with AppLovin's dominance over this part of the ecosystem and how little visibility they have into AppLovin's auction process. This has led to the creation of a new mediation competitor CloudX, launched by MoPub founders (which essentially became AppLovin's MAX). Liftoff would say that more publisher choice can be helpful for them and they were actually CloudX's first partner.

- Competition: This industry is not a fixed pie winner take all market like brand budgets are and companies typically work with multiple partners. Performance ad budgets are essentially uncapped and advertisers will keep spending as long as ROAS clears their threshold. Liftoff's large presence outside of gaming also helps diversify them from players like APP and U. And Liftoff's LTM Core Advertising Net Dollar Retention is 130%, so existing customers are spending more with them. There seems to be some concern that Meta may want to get more aggressive and could potentially close the information gap that players like AppLovin and Liftoff have. Apple is another wildcard. I also think people are unsure how AI will change the way people use apps and how that impacts ad supported interfaces. If an agent is purchasing items, the ad impression to influence that choice never happens. I think this is less relevant for Liftoff's end markets (gaming, dating, gambling apps). In any case, I think the valuation compensates you for these risks.
- Leverage: Liftoff used IPO proceeds to paydown debt, bringing pre-IPO net leverage of 5.8x to 2.4x currently. Still more levered than some peers, but manageable
- Take-rate compression: The high take rates and margins we see in this industry can be concerning. If everyone including Meta, AppLovin, Google, Liftoff are competing for the same inventory, CPMs on bought supply rise and the gross-to-net spread narrows. That said, advertisers don't see take rate they just set a performance target and as long as they are hitting ROAS goals they don't care. The industry has seen stable take rates despite competitive pressure. And someone trying to compete as a cheap bidder probably has worse prediction and wins the bad impressions.
- PE overhang – lockup expires Dec 1. That said, the stock is below what GA paid 15 months ago ($17.70/sh) and what they participated in during the IPO ($23/sh). Would probably expect a secondary at some point.

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Catalyst

Q3 earnings: Liftoff is the top 1 or 2 suppliers of user acquisition for prediction market / gambling apps. The world cup in Q2 was cited by the team as one of the primary causes for outsized growth in Q2 and more moderate sequential growth expectations in Q3 (ex: the Kalshi app was downloaded ~270K times the week the World Cup kicked off compared to around 60K downloads two weeks earlier). I believe that spending on user acquisition leading into NFL season likely surprised to the upside: in NFL week 1, Polymarket was downloaded 762K times and Kalshi was downloaded 592K times (2x world cup downloads), which could indicate accelerating sequential growth in this vertical. I also believe this is multiples of what it was last year. Liftoff is a second derivative beneficiary of the battle for users amongst these platforms, which is intensifying.

Messages

Subject	Questions
Entry	10/05/2026 05:17 PM
Member	igorious

Thanks for the detailed pitch, LFTO looks very cheap.

- Have you found any good data on their prediction market/gambling exposure? How are you arriving at 1st or 2nd in that vertical?
- How have you underwritten Apple risk following the TTD ad-serving block? Do you view native SDK delivery as largely insulated, or could WebKit/WebView restrictions still affect Liftoff's delivery or attribution?
- To talk my own book, since it's been discussed here: EVC. Treating the Media segment as a donut, it's still trading around 5x unadjusted operating income from the ad-tech business. Smadex has also been doing a lot in prediction markets/gambling and CTV. EVC's lower leverage works in its favor, while customer concentration cuts the other way. Have you looked at their relative competitive positioning, particularly how much advantage Liftoff gets from owning the SDK versus Smadex's approach?